

FEDERAL & TRUST COMPLIANCE COMMAND CENTER

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Audited Entity:	Jeffrey Walsh	Investigation ID:	INV-CUST-0496
KYC Status:	FAILED	Net Worth:	\$89,814
Residence Country:	Germany	Politically Exposed (PEP):	YES
Calculated Risk Score:	99.38/100	Assigned Severity:	CRITICAL

DETECTED RISK SIGNALS & RED FLAGS

Code	Risk Rule Triggered	Weight	Flag Details
R01_LARGE_TRANSACTION	Large Transaction Alert	20	Transaction TX-011122 of \$59,912.00 exceeds limit.
R03_STRUCTURED	Transaction Structuring	30	Structuring warning: 3 transactions in \$9,000-\$9,999 range within 6.0 hours. Amounts: [9959.0, 9951.0, 9949.0]
R04_CRYPTOMERCHANT	Crypto Asset Merchant Transaction	15	Transaction TX-011123 to crypto merchant: CoinMixer.
R05_CASH_INTENSIVE_MERCHANT	Cash-Intensive Merchant Transaction	15	Cash-intensive merchant activity: Jones Ltd Casino (Casino & Gambling).
R06_HIGH_RISK_MERCHANT	High-Risk Merchant Association	20	Transaction with merchant in high-risk country: Tran Group (Iraq).
R07_SANCTION_COUNTRY	Sanctioned Jurisdiction Link	35	Transaction TX-011119 routed to sanctioned jurisdiction: Syria.
R08_AML_WATCHLIST	AML Watchlist Match	40	Active listing on compliance watchlist: OFAC SDN list match.
R09_PEP_CUSTOMER	Politically Exposed Person (PEP)	25	Customer matches Politically Exposed Person (PEP) list.
R10_NEGATIVE_NEWS	Adverse Media Match	20	Adverse media match: 'Federal authorities open inquiry into financial transactions of Jeffrey Walsh due to suspected asset concealment.' (Reuters).
R11_INCOMPLETE_KYC	Incomplete KYC Profile	15	KYC Document Status: FAILED. Expiry: 2026-04-18.
R13_MULTIPLE_FAILED_LOGINS	Multiple Failed Logins	15	3 login failures recorded within 0.2 hours.
R14_IMPOSSIBLE_TRAVEL	Geographic Velocity Anomaly (Impossible Travel)	30	Geographic hop: Josestad (Germany) -> SanctionCity (Iran) within 5.0 minutes. Required Speed: 87,132.0 km/h.
R15_VPN_LOGIN	VPN or Proxy Access	10	Login LOG-05593 routed through virtual private network (VPN).
R16_FOREIGN_LOGIN	Foreign Login Activity	15	Session opened in country 'Iran', different from home country 'Germany'.
R18_HIGH_TRANSACTION_FREQUENCY	High Transaction Frequency Burst	15	Transaction volume burst: 8 transactions in one day (Mean: 1.8, Limit: 5.5).
R21_LARGE_BALANCE_CHANGE	Severe Balance Depletion	20	Account ACC-00708 balance depleted by 91.6% in one day (Outflow: \$62,065.00).

R23_ROUND_NUMBER_PAYMENT	Round Number Transaction	10	Large exact round transaction amount processed: \$15,000.00 (ID: TX-011128).
R24_MERCHANT_BLACKLIST	Blacklisted Merchant Direct Hit	25	Direct transaction hit with blacklisted merchant entity: Jones Ltd Casino.
R25_EXTERNAL_FRAUD_ALERT	External Fraud Alert Triggered	20	External flag received from agency Interpol: High-Risk Merchant Interaction (CRITICAL).
R26_COUNTRY_RISK	High-Risk Jurisdiction Association	15	Transaction TX-011141 routed to designated high-risk country: Somalia.
R27_LOCATION_MISMATCH	Login-to-Transaction Location Mismatch	20	Location mismatch: login at Josestad (Germany) but transaction routed from East Douglas (Syria) within 1 hour.
R28_ACCOUNT_AGE	Rapid Activity on New Account	15	New account (1 days old) initiated high-value transaction of \$27,230.00.
R30_BEHAVIOURAL_ANOMALY	Off-Hours High-Value Activity	20	Transfer of \$59,912.00 executed at 02:10 during sleeping hours.

AI-POWERED AUDIT DECISION & NARRATIVE

[MOCK MODE] EXECUTIVE COMPLIANCE REPORT (Gemini API Key Not Set)

Entity Name: Jeffrey Walsh (CUST-0496) **Risk Level:** CRITICAL (Score: 99.38/100)

1. EXECUTIVE SUMMARY Customer Jeffrey Walsh exhibits behavioral patterns categorized as **CRITICAL** risk. A total of 23 compliance rule violations have been flagged in the audit logs.

2. RISK EXPLANATION & DETECTED SIGNALS The following rule triggers were evaluated: - **Large Transaction Alert:** Transaction TX-011122 of \$59,912.00 exceeds limit. - **Transaction Structuring:** Structuring warning: 3 transactions in \$9,000-\$9,999 range within 6.0 hours. Amounts: [9959.0, 9951.0, 9949.0] - **Crypto Asset Merchant Transaction:** Transaction TX-011123 to crypto merchant: CoinMixer. - **Cash-Intensive Merchant Transaction:** Cash-intensive merchant activity: Jones Ltd Casino (Casino & Gambling). - **High-Risk Merchant Association:** Transaction with merchant in high-risk country: Tran Group (Iraq). - **Sanctioned Jurisdiction Link:** Transaction TX-011119 routed to sanctioned jurisdiction: Syria. - **AML Watchlist Match:** Active listing on compliance watchlist: OFAC SDN list match. - **Politically Exposed Person (PEP):** Customer matches Politically Exposed Person (PEP) list. - **Adverse Media Match:** Adverse media match: 'Federal authorities open inquiry into financial transactions of Jeffrey Walsh due to suspected asset concealment.' (Reuters). - **Incomplete KYC Profile:** KYC Document Status: FAILED. Expiry: 2026-04-18. - **Multiple Failed Logins:** 3 login failures recorded within 0.2 hours. - **Geographic Velocity Anomaly (Impossible Travel):** Geographic hop: Josestad (Germany) -> SanctionCity (Iran) within 5.0 minutes. Required Speed: 87,132.0 km/h. - **VPN or Proxy Access:** Login LOG-05593 routed through virtual private network (VPN). - **Foreign Login Activity:** Session opened in country 'Iran', different from home country 'Germany'. - **High Transaction Frequency Burst:** Transaction volume burst: 8 transactions in one day (Mean: 1.8, Limit: 5.5). - **Severe Balance Depletion:** Account ACC-00708 balance depleted by 91.6% in one day (Outflow: \$62,065.00). - **Round Number Transaction:** Large exact round transaction amount processed: \$15,000.00 (ID: TX-011128). - **Blacklisted Merchant Direct Hit:** Direct transaction hit with blacklisted merchant entity: Jones Ltd Casino. - **External Fraud Alert Triggered:** External flag received from agency Interpol: High-Risk Merchant Interaction (CRITICAL). - **High-Risk Jurisdiction Association:** Transaction TX-011141 routed to designated high-risk country: Somalia. - **Login-to-Transaction Location Mismatch:** Location mismatch: login at Josestad (Germany) but transaction routed from East Douglas (Syria) within 1 hour. - **Rapid Activity on New Account:** New account (1 days old) initiated high-value transaction of \$27,230.00. - **Off-Hours High-Value Activity:** Transfer of \$59,912.00 executed at 02:10 during sleeping hours.

3. REGULATORY IMPACT & REASONING - **Money Laundering Structuring:** Repeated transactions just under \$10,000 are a flagrant attempt to bypass CTR filing requirements under the Bank Secrecy Act (BSA) (31 U.S.C. § 5324). - **Sanctions Violation:** Transactions or login sessions connecting to OFAC-restricted countries (e.g., Iran, Russia) present direct compliance and regulatory liability risks. - **Impossible Travel:** Geographic velocity logins indicate credential sharing or

active account takeover.

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PREPARED BY:

Compliance Intelligence Agent (Gemini AI)

Signature generated electronically

APPROVED BY:

AML Audit Officer / Compliance Director

Date: _____